Orion Software Inc
Annual Report FY2023

Sector: Enterprise Software. All figures in US dollars. Fiscal year ends 31 March 2023. This is a synthetic document created for an educational capstone project.

Chairman's Letter to Shareholders

Dear shareholders, FY2023 was a year of disciplined execution for Orion Software Inc. Revenue for FY2023 was $1,013.6 million, up 17.9% from $860.0 million in FY2022. Net income for FY2023 was $151.5 million and earnings per share were $1.49. The Board has recommended a dividend of $0.60 per share.

Our strategy for the coming year focuses on migrating licence customers to cloud subscriptions and launching an AI analytics add-on. We remain committed to transparent reporting, prudent capital allocation and sustainable long-term value creation.

Management Discussion and Analysis

Gross profit for FY2023 was $732.3 million, giving a gross margin of 72.2%. Operating expenses were $501.3 million and operating income was $231.0 million. EBITDA for FY2023 was $273.7 million.

Net income improved from $145.4 million in FY2022 to $151.5 million in FY2023, a change of 4.2%. Interest expense was $28.9 million, reflecting the level of long-term debt of $392.4 million.

Segment performance: Cloud Subscriptions contributed $415.0 million; Professional Services contributed $247.8 million; On-premise Licences contributed $350.9 million.

Liquidity and Capital Resources

Cash and cash equivalents at year end were $139.9 million. Net cash from operating activities was $199.5 million and capital expenditure was $48.9 million, resulting in free cash flow of $150.6 million. Total current assets were $371.8 million against total current liabilities of $197.3 million.

Total assets were $1,293.1 million, total liabilities were $623.6 million and shareholders' equity was $669.5 million.

Principal Risks and Uncertainties

- A cyber-security incident could damage customer trust and trigger penalties.
- Customer churn may rise if competitors bundle similar features for free.
- Talent shortages may increase engineering salary costs.
- Foreign-exchange movements affect reported revenue from overseas customers.

Outlook

For FY2024, management expects revenue growth of 14% to 22%, supported by migrating licence customers to cloud subscriptions and launching an AI analytics add-on. Guidance assumes stable macroeconomic conditions.

Consolidated Income Statement

Line item ($ million)	FY2023	FY2022
Revenue	1,013.6	860.0
Cost of revenue	281.3	214.8
Gross profit	732.3	645.2
Operating expenses	501.3	424.6
Operating income (EBIT)	231.0	220.6
Depreciation & amortisation	42.7	44.1
EBITDA	273.7	264.7
Interest expense	28.9	26.7
Tax expense	50.5	48.5
Net income	151.5	145.4

Consolidated Balance Sheet

Line item ($ million)	FY2023	FY2022
Cash and cash equivalents	139.9	122.4
Total current assets	371.8	278.0
Total assets	1,293.1	1,156.8
Total current liabilities	197.3	135.1
Long-term debt	392.4	416.2
Total liabilities	623.6	578.2
Shareholders' equity	669.5	578.6

Consolidated Cash Flow Statement

Line item ($ million)	FY2023	FY2022
Net cash from operating activities	199.5	187.0
Capital expenditure	48.9	57.0
Free cash flow	150.6	130.0